# Accounting Questions #1

Student Name: _____

Class Name: **Fundamentals of Accounting (Sole Proprietorship)**

Number of Questions: **60**

Instructor Name: **Bodanske, Daniel**

## Question 1 of 60

For each account, identify the section of the chart of accounts as Asset accounts, Liability accounts, Owner's Equity accounts, Revenue accounts, or Expense accounts.

1. Service Revenue
2. Deferred Revenue
3. Prepaid Insurance
4. Capital

## Question 2 of 60

Below are four items from the financial records of Bennett Corporation.

**Required:**

Classify each item as an Asset, a Liability, or a Change to Owner's Equity.

1. Accounts Payable:
2. Investment of Cash by Owner:
3. Supplies:
4. Notes Payable:

## Question 3 of 60

Listed below are three items.

**Required:**

Classify each of the items as Revenue, Expense, Other Changes to Owner's Equity, or None of These:

1. Salary Expense:
2. Prepaid Insurance:
3. Investment by Owner:


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## Question 4 of 60

Listed below are items that appear in financial statements.

**Required:**

Identify the financial statement(s) in which each of the following three items would be found. Choose from income statement, equity statement or balance sheet.

Note: An item may appear in more than one financial statement.

1. Investment by owner:
2. Revenues:
3. After Considering What a Business Owns and Owes, What is Left Over:

## Question 5 of 60

Listed below are accounts that appear in financial statements.

**Required:**

Identify the financial statement(s) in which each of the following three accounts would be found. Choose from balance sheet, income statement or equity statement.

Note: An account may appear in more than one financial statement.

1. Drawing:
2. Deferred Rent Revenue:
3. Net Income:

## Question 6 of 60

For each item, indicate the portion of the annual report in which it would be found. Choose from financial statements, management discussion and analysis, auditor's report, or notes to the financial statements.

1. Statement of Equity
2. Summary of Significant Accounting Policies

## Question 7 of 60

Steeler Company has $77,000 in total assets and $17,000 in total liabilities.

**Required:**

What is the amount of its owner's equity?


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## Question 8 of 60

Complete each equation by selecting the missing term.
Then, select the financial statement that the equation illustrates.

a. Assets = _____ + Capital
(Drawing, Expenses, Liabilities, Net Income, Revenues)
Statement:_____
(Balance Sheet, Income Statement, Equity Statement)

b. _____ - Expenses = Net Income
(Assets, Capital, Drawing, Liabilities, Revenues)
Statement:_____
(Balance Sheet, Income Statement, Equity Statement)

c. Capital (beginning balance) + Investments by Owner + Net Income - Drawing = _____
(Assets, Capital (ending balance), Expenses, Liabilities, Revenues)
Statement:_____
(Balance Sheet, Income Statement, Equity Statement)

## Question 9 of 60

Given the following transaction:

Paid rent on office space for current month.

**Required:**

For the transaction above, answer the following:

a. Select the accounts below that are affected (there will be at least two).
b. Is the account increased or decreased?
c. If Equity is selected, is it that the Investment by Owner, Revenue, Expense, or Drawing has changed?

1. Cash
2. Accounts Receivable
3. Supplies
4. Prepaid Insurance
5. Equipment
6. Accounts Payable
7. Equity


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## Question 10 of 60

Mr. Ramirez, the owner, pays its supplier $3,900 for supplies purchased three weeks earlier.

**Required:**

What is the effect of this transaction on individual asset accounts, individual liability accounts, and the Owner's Equity account?

Check all that apply.

| | |
|---|---|
| An asset account increases. | |
| An asset account decreases. | |
| A liability account increases. | |
| A liability account decreases. | |
| Owner's Equity increases. | |
| Owner's Equity decreases. | |

## Question 11 of 60

Miss Hill, the owner, purchases equipment for $4,800, cash.

**Required:**

What is the effect of this transaction on individual asset accounts, individual liability accounts, and the Owner's Equity account?

Check all that apply.

| | |
|---|---|
| An asset account increases. | |
| An asset account decreases. | |
| A liability account increases. | |
| A liability account decreases. | |
| Owner's Equity increases. | |
| Owner's Equity decreases. | |


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## Question 12 of 60

Presented below is information related to Bell Company.

**Required:**

Compute Drawing.

| | |
|---|---|
| Beginning capital | $ 13,800 |
| Ending capital | 24,900 |
| Additional investments by owner | 5,000 |
| Net income | 8,200 |
| Drawing | |

## Question 13 of 60

Presented below is information related to Gonzales Company.

**Required:**

How much did Gonzales Company have in revenues for the year?

| | |
|---|---|
| Assets, January 1 | $ 50,000 |
| Liabilities, January 1 | 33,000 |
| Assets, December 31 | 76,000 |
| Liabilities, December 31 | 41,000 |
| Additional investments by owner | 14,300 |
| Revenues | |
| Expenses | 13,500 |
| Drawing | 7,800 |


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## Question 14 of 60

Below you will find a balance sheet for Young Company.

**Required:**

Fill in the missing dollar amounts to complete the balance sheet.

| Young Company<br>Balance Sheet<br>Dec 31 | | | |
|---|---|---|---|
| Assets | | | |
| Cash | | $ 20,900 | |
| Accounts Receivable | | 12,400 | |
| Prepaid Rent | | 36,600 | |
| Supplies | | | |
| Total Assets | | | $ 86,100 |
| Liabilities | | | |
| Accounts Payable | | $ | |
| Deferred Revenue | | 33,300 | |
| Total Liabilities | | | 51,100 |
| Equity | | | |
| Capital | | | |
| Total Liabilities and Equity | | | $ |



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## Question 15 of 60

Below you will find an incomplete income statement for the doctor's office of Susan Jackson.

**Required:**

Fill in the missing dollar amounts to complete the income statement.

| Susan Jackson, MD<br>Income Statement<br>For Year Ended Dec 31 | | |
|---|---|---|
| Revenues: | | |
| Examination fees | $ | |
| Laboratory fees | 83,400 | |
| Total revenues | | $ 255,600 |
| Expenses: | | |
| Insurance expense | $ 69,900 | |
| Salary expense | 61,100 | |
| Rent expense | 59,900 | |
| Janitorial expense | 51,100 | |
| Miscellaneous expense | | |
| Total expenses | | 250,900 |
| Net income | | $ |



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## Question 16 of 60

Jackson Co. had the following owner's equity statement with certain numbers missing.

**Required:**

Complete the owner's equity statement, filling in the missing amounts.

| Jackson Co.<br>Owner's Equity Statement<br>For Year Ended Dec 31 | | |
|---|---|---|
| Beginning capital, Jan 1 | | $ |
| Additional investments | $ | |
| Net income | 32,400 | |
| Less drawing | 16,700 | |
| Increase in equity | | 40,700 |
| Ending capital, Dec 31 | | $ 103,800 |

## Question 17 of 60

On December 31, Coleman Co. had the following list of accounts. Prepare an income statement for the year.

| | | | |
|---|---|---|---|
| Accounts Payable | $ 34,700 | Entertainment Expense | $ 5,500 |
| Accounts Receivable | 64,000 | Prepaid Rent | 15,700 |
| Beginning Capital | 63,700 | Rent Expense | 9,200 |
| Cash | 50,400 | Supplies | 22,800 |
| Consulting Revenue | 61,100 | Supplies Expense | 8,700 |
| Deferred Revenue | 14,500 | Utilities Expense | 8,100 |
| Drawing | 23,600 | | |


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## Question 18 of 60

On December 31, Long Co. had the following list of accounts and their respective annual balances.

| | | | | | |
|---|---|---|---|---|---|
| ☐ | Accounts Payable | $ 52,300 | ☐ | Prepaid Rent | $ 18,100 |
| ☐ | Accounts Receivable | 57,100 | ☐ | Rent Expense | 3,500 |
| ☐ | Beginning Capital | 86,400 | ☐ | Supplies | 22,300 |
| ☐ | Cash | 39,400 | ☐ | Supplies Expense | 9,300 |
| ☐ | Consulting Revenue | 38,900 | ☐ | Travel Expense | 6,400 |
| ☐ | Deferred Revenue | 5,100 | ☐ | Utilities Expense | 3,000 |
| ☐ | Drawing | 23,600 | | | |

**Required:**

Complete the statement of owner's equity below.

*Hint*: First compute net income.

| | | | | |
|---|---|---|---|---|
| Accounts Payable | $ 52,300 | | Prepaid Rent | $ 18,100 |
| Accounts Receivable | 57,100 | | Rent Expense | 3,500 |
| Beginning Capital | 86,400 | | Supplies | 22,300 |
| Cash | 39,400 | | Supplies Expense | 9,300 |
| Consulting Revenue | 38,900 | | Travel Expense | 6,400 |
| Deferred Revenue | 5,100 | | Utilities Expense | 3,000 |
| Drawing | 23,600 | | | |


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## Question 19 of 60

On December 31, Taylor Co. had the following list of accounts.

| | | | | | |
|---|---|---|---|---|---|
| ☐ | Accounts Payable | $ 50,700 | ☐ | Ending Capital | $ 76,800 |
| ☐ | Accounts Receivable | 67,500 | ☐ | Prepaid Rent | 15,900 |
| ☐ | Beginning Capital | 49,400 | ☐ | Rent Expense | 4,200 |
| ☐ | Cash | 39,600 | ☐ | Supplies | 10,000 |
| ☐ | Consulting Revenue | 59,800 | ☐ | Supplies Expense | 4,500 |
| ☐ | Deferred Revenue | 5,500 | ☐ | Travel Expense | 4,700 |
| ☐ | Drawing | 13,500 | ☐ | Utilities Expense | 5,500 |

**Required:**

Prepare a balance sheet on December 31, classifying and ordering all balance sheet accounts in the proper sections.

| | | | | |
|---|---|---|---|---|
| Accounts Payable | $ 50,700 | | Ending Capital | $ 76,800 |
| Accounts Receivable | 67,500 | | Prepaid Rent | 15,900 |
| Beginning Capital | 49,400 | | Rent Expense | 4,200 |
| Cash | 39,600 | | Supplies | 10,000 |
| Consulting Revenue | 59,800 | | Supplies Expense | 4,500 |
| Deferred Revenue | 5,500 | | Travel Expense | 4,700 |
| Drawing | 13,500 | | Utilities Expense | 5,500 |


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## Question 20 of 60

**Transaction:**

Rocket Co. pays $1,600 for monthly advertising expenses.

**Required:**

For the transaction above, complete the following:

(a) Select the accounts that are affected (there will be at least two).

(b) Are the selected accounts increased or decreased?

(c) What is the dollar amount of change in the accounts?

(d) If Equity is selected, choose the reason that it has changed.

| Account | Which accounts are affected? | Is the account increased or decreased? | What is the amount of transaction? | Why has Equity changed? |
|---|---|---|---|---|
| Cash | ☐ | ○ Increase<br>○ Decrease | $ | |
| Accounts Receivable | ☐ | ○ Increase<br>○ Decrease | $ | |
| Supplies | ☐ | ○ Increase<br>○ Decrease | $ | |
| Tools | ☐ | ○ Increase<br>○ Decrease | $ | |
| Accounts Payable | ☐ | ○ Increase<br>○ Decrease | $ | |
| Equity | ☐ | ○ Increase<br>○ Decrease | $ | Select |



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## Question 21 of 60

Indicate whether each account has a normal debit or credit balance.

| | Debit | Credit |
|---|---|---|
| Drawing | ○ | ○ |
| Service Revenue | ○ | ○ |
| Capital | ○ | ○ |
| Notes Payable | ○ | ○ |

## Question 22 of 60

In this problem, you will be given three errors that may or may not affect the trial balance. You are to determine the following:

1. As a result of each error, will the trial balance still balance? Consider each error separately.

If you determine that the trial balance will not balance as a result of the error, then answer the following questions:

2. What is the amount of the difference between the two columns of the trial balance?
3. Which trial balance column (debit or credit) will become incrementally larger?

| Statement of Problem | Will the trial balance still balance? | What is the amount of the difference? | Which trial balance column will become incrementally larger? |
|---|---|---|---|
| The $505 balance in Service Revenue was listed as a debit. | ○ Yes ○ No | $ | ○ Debit ○ Credit |
| A receipt of $700 on account for services already performed was recorded as a debit to Cash for $700 and a credit to Service Revenue for $70. | ○ Yes ○ No | $ | ○ Debit ○ Credit |
| A credit entry to Accounts Payable for $830 was posted twice. | ○ Yes ○ No | $ | ○ Debit ○ Credit |


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## Question 23 of 60

For the following transaction, answer the questions that follow in accordance with the rules of journalizing and the double-entry accounting system:

**Transaction:**

Edwards Company paid $1,900 for monthly advertising expenses.

1. What two accounts are affected?
2. What kind of accounts are they (Asset, Liability, Owner's Equity (Capital), Owner's Equity (Expense), or Owner's Equity (Revenue)?
3. Do the account balances increase or decrease?
4. Do we debit or credit the accounts?

## Question 24 of 60

Journalize the following transactions into the general journal in accordance with the rules of Journalizing, and the Double-entry accounting system.

| | | |
|---|---|---|
| April | 22 | Cox Company receives $2,600 payment from a customer on account. |
| September | 28 | Owner deposits $30,000 in business bank account as an initial investment. |

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
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## Question 25 of 60

To start her own business, Linda Morgan put $26,000 of her personal cash into the business account.

Given the following **additional** transactions:

| Item | Description | Ref. | Debit | Credit |
|---|---|---|---|---|
| 1 | Utilities Expense | | 485 | |
| | Accounts Payable | | | 485 |
| 2 | Accounts Payable | | 245 | |
| | Cash | | | 245 |
| 3 | Accounts Receivable | | 1,700 | |
| | Service Revenue | | | 1,700 |
| 4 | Cash | | 1,400 | |
| | Accounts Receivable | | | 1,400 |

Calculate the ending balance of each of the following accounts after all journal entry amounts are posted:

1. Cash
2. Utilities Expense
3. Accounts Payable
4. Accounts Receivable
5. Service Revenue


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## Question 26 of 60

On June 1, Collins Company paid $1,200 for one year of advertising in advance.

**Required:**

1. How much will be expensed by the end of the year?
2. How much will be in the Prepaid Advertising account at the end of the year, after the adjusting entries have been prepared and posted?

Note: Assume a year end of December 31, and assume that the advertising will be used evenly throughout the year.

## Question 27 of 60

On December 31, Stewart Company has earned interest revenue of $1,200 on outstanding notes, even though the company will not actually receive the interest until the following year.

**Required:**
Journalize the adjusting entry on December 31.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | | | | |
| | | | | | |
| | | | | | |
| | | | | | |


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## Question 28 of 60

On July 1, Lewis Company paid $24,000 for two years of insurance in advance. Lewis Company recorded the transaction by debiting Prepaid Insurance and crediting Cash.

**Required:**
Journalize the adjusting entry on December 31.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

## Question 29 of 60

On May 1, Miller Company paid $10,800 for one year of advertising in advance. On May 1, Miller Company debited Advertising Expense, which is an alternate way of recording the initial expenditure. Assume that the advertising is used evenly throughout the year.

**Required:**
Journalize the adjusting entry on December 31.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | | | | |
| | | | | | |
| | | | | | |
| | | | | | |


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## Question 30 of 60

On January 2, 2026, Taylor Company purchased land that cost $630,000, a building on the land that cost $1,470,000, and equipment that cost $72,000. The building has an estimated useful life of 21 years. The equipment has an estimated useful life of 9 years.

**Required:**

Prepare the property, plant, and equipment section of the balance sheet as of December 31, 2026.

Note: Use straight-line depreciation with no salvage value.

## Question 31 of 60

On May 1, Ross Company paid $6,000 for one year of advertising in advance. Ross debited Prepaid Advertising. The advertising expense will be used evenly throughout the year. If the appropriate adjusting entry is not made at the end of the year, what will be the effect on:

a. Income Statement Accounts (overstated, understated, or no effect)?
    1. Revenue:
    2. Expense:
b. Net Income (overstated, understated, or no effect)?
c. Balance Sheet Accounts (overstated, understated, or no effect)?
    1. Assets:
    2. Liabilities:
    3. Owner's Equity:

## Question 32 of 60

On April 1, Martinez Company paid $3,300 for one year of advertising in advance. Martinez debited Advertising Expense, which is an alternate way of recording the initial expenditure. The advertising expense will be used evenly throughout the year.

a. Income Statement Accounts (overstated, understated, or no effect)?
    1. Revenue:
    2. Expense:
b. Net Income (overstated, understated, or no effect)?
c. Balance Sheet Accounts (overstated, understated, or no effect)?
    1. Assets:
    2. Liabilities:
    3. Owner's Equity:


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## Question 33 of 60

For each account listed below, determine whether it is a permanent account or a temporary account.

| | Permanent Account | Temporary Account |
|---|---|---|
| Prepaid Advertising | | |
| Advertising Expense | | |
| Accumulated Depreciation, Buildings | | |


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## Question 34 of 60

Griffin Company had the following adjusted trial balance:

| Account Titles | Debit | Credit |
|---|---|---|
| Cash | 14,240 | |
| Accounts Receivable | 9,380 | |
| Supplies | 6,170 | |
| Equipment | 45,700 | |
| Accumulated Depreciation | | 7,000 |
| Accounts Payable | | 4,020 |
| Deferred Rent Revenue | | 1,890 |
| Capital | | 43,500 |
| Drawing | 16,400 | |
| Commission Revenue | | 48,280 |
| Rent Revenue | | 7,100 |
| Depreciation Expense | 3,500 | |
| Utilities Expense | 10,700 | |
| Supplies Expense | 5,700 | |
| Total | 111,790 | 111,790 |

**Required:**
Prepare the third closing entry to close the Income Summary account to the Capital account, given that net income for the period = $35,480.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |


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## Question 35 of 60

Mitchell Company had the following adjusted trial balance:

| Account Titles | Debit | Credit |
|---|---|---|
| Cash | $20,830 | |
| Accounts Receivable | 19,510 | |
| Supplies | 7,750 | |
| Equipment | 35,500 | |
| Accumulated Depreciation | | $9,300 |
| Accounts Payable | | 3,760 |
| Deferred Rent Revenue | | 2,480 |
| Capital | | 49,950 |
| Drawing | 14,100 | |
| Commission Revenue | | 47,300 |
| Rent Revenue | | 5,600 |
| Depreciation Expense | 7,000 | |
| Utilities Expense | 8,700 | |
| Supplies Expense | 5,000 | |
| Total | $118,390 | $118,390 |

The president of Mitchell Company has asked you to close the books (prepare and process the closing entries).

**Required:**

After the closing process has been completed, answer the following questions:

| | |
|---|---|
| What is the balance in the supplies expense account? | $ |
| What is the balance in the Capital account? | $ |
| During the closing process, what amount was transferred from the income summary account to the Capital account in the third closing entry (i.e., after revenue and expense accounts have been closed to Income Summary)? | $ |


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## Question 36 of 60

Martinez Company has employed a bookkeeper who is inexperienced. On December 27, after reviewing the records for the year, you discover the following error.

On September 1, Martinez Company received $830 for services to be performed in the future. The bookkeeper recorded this by debiting Cash for $380 and crediting Service Revenue for $380.

**Note:** Assume that it is the company's policy to record the receipt of revenue in advance of earning it in the Deferred Revenue account.

**Required:**
Prepare a correcting entry on December 27. Make sure to enter the day for each separate transaction.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

## Question 37 of 60

Certain adjusting entries made at the end of an accounting period are reversed at the beginning of the following period.

**Required:**
Analyze the following four adjusting entries made on December 31, and determine whether a reversing entry is needed.

| Date | | Description | Debit | Credit | Reversing entry necessary | Reversing entry not necessary |
|---|---|---|---|---|---|---|
| Dec. | 31 | Rent Expense | 1,000 | | ○ | ○ |
| | | Prepaid Rent | | 1,000 | | |
| | 31 | Deferred Rent Revenue | 1,550 | | ○ | ○ |
| | | Rent Revenue | | 1,550 | | |
| | 31 | Interest Expense | 800 | | ○ | ○ |
| | | Interest Payable | | 800 | | |
| | 31 | Insurance Expense | 890 | | ○ | ○ |
| | | Prepaid Insurance | | 890 | | |


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## Question 38 of 60

The following adjusting entries were journalized on December 31, 2024. If a reversing entry is needed, journalize the reversing entry on January 1, 2025. Make sure to enter the day for each separate transaction.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | Interest Expense | 800 | | |
| | | Interest Payable | | 800 | |
| | 31 | Supplies Expense | 520 | | |
| | | Supplies | | 520 | |
| | 31 | Deferred Advertising | 880 | | |
| | | Advertising Revenue | | 880 | |

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
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## Question 39 of 60

On December 31, Gray Company had the following list of account balances.

| | | | |
|---|---|---|---|
| Accounts Payable | $58,900 | Drawing | $12,500 |
| Accounts Receivable | 45,500 | Equipment | 58,100 |
| Accumulated Depreciation, Buildings | 56,100 | Prepaid Rent | 14,000 |
| Accumulated Depreciation, Equipment | 18,400 | Rent Expense | 8,100 |
| Beginning Capital | 66,000 | Salaries Expense | 8,600 |
| Buildings | 100,000 | Salaries Payable | 9,200 |
| Cash | 30,400 | Service Revenue | 96,300 |
| Depreciation Expense, Buildings | 3,300 | Supplies | 13,500 |
| Depreciation Expense, Equipment | 4,400 | Supplies Expense | 6,500 |

**Required:**
Prepare a balance sheet on December 31.

*Hint*: You will need to determine the net book value for equipment and buildings. You will also need to determine ending capital.

## Question 40 of 60

On December 31, Allen Company has the following list of account balances.

| | | | |
|---|---|---|---|
| Accounts Payable | $65,000 | Service Revenue | $49,300 |
| Accounts Receivable | 38,000 | Legal Expense | 2,600 |
| Accumulated Depreciation, Equipment | 18,600 | Note Payable, due in two years. | 13,000 |
| Accumulated Depreciation, Buildings | 40,700 | Prepaid Rent | 19,400 |
| Advertising Expense | 2,500 | Rent Expense | 4,500 |
| Beginning Capital | 91,000 | Salaries Expense | 7,200 |
| Buildings | 88,000 | Salaries Payable | 11,200 |
| Cash | 21,400 | Supplies | 20,900 |
| Drawing | 13,800 | Supplies Expense | 8,900 |
| Equipment | 61,600 | | |

**Required:**

Compute the dollar amount of the total Owner's Equity as it would appear on the December 31 balance sheet.

## Question 41 of 60

For each of the three accounts listed below, give the correct balance sheet classification.

| | |
|---|---|
| Notes Payable, due in 2 years: | |
| Capital: | |
| Service Revenue: | |


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## Question 42 of 60

For the following accounts used by a retail business, determine the normal balance of each account (i.e., does the account normally have a debit or a credit balance?).

| | Debit | Credit |
|---|---|---|
| Sales | | |
| Sales Returns and Allowances | | |
| Freight-out | | |
| Cost of Goods Sold (COGS) | | |

## Question 43 of 60

For each of the following accounts used by a retail business, determine its classification: asset, contra-asset, liability, revenue, contra-revenue, or expense.

| | Asset | Contra-Asset | Liability | Revenue | Contra-Revenue | Expense |
|---|---|---|---|---|---|---|
| Deferred Sales Revenue | | | | | | |
| Sales Returns and Allowances | | | | | | |
| Cost of Goods Sold (COGS) | | | | | | |


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## Question 44 of 60

Bryant Company has the following account balances, extracted from its multiple-step income statement for the current year.

**Required:**

Compute the missing amounts.

| | |
|---|---|
| Sales | $ 123,800 |
| Sales Returns and Allowances | 4,200 |
| Sales Discounts | 4,500 |
| Net Sales | |
| Cost of Goods Sold | |
| Gross Profit | 53,100 |
| Selling Expenses | 10,400 |
| General and Administrative Expenses | 8,800 |
| Total Operating Expenses | |
| Net Income | |

## Question 45 of 60

James Company purchased goods from Brown with the following terms and details.

Sales price, $8,000
Terms, (2/10, n/30)
Date of sale, October 6
Date of payment, October 15
Shipping, FOB Shipping Point, $135, prepaid by seller

Determine if James, the buyer, qualifies for a cash discount, and who pays for shipping, James or Brown.


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## Question 46 of 60

Taylor Company purchased goods with the following terms and details:

Sales price, $5,000
Terms, 3/10, n/30
Date of sale, September 3
Date of payment, September 14
Returns and allowances (before payment), $600
Shipping, FOB Destination, $290, prepaid by seller

**Required:**

Compute the amount that Taylor Company has to pay to the seller for the goods.

## Question 47 of 60

Bennett Company has the following account balances at the end of its fiscal year. Compute Net Sales, Gross Profit, and Net Income (ignore taxes).

| | |
|---|---|
| Sales | $ 122,200 |
| Sales Returns and Allowances | 4,200 |
| Sales Discounts | 3,400 |
| Net Sales | |
| Cost of Goods Sold | 54,500 |
| Gross Profit | |
| Selling Expenses | 10,600 |
| General and Administrative Expenses | 8,100 |
| Net Income | |


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## Question 48 of 60

On December 31, Perry Company had the following adjusted trial balance:

| Account Titles | Debit | Credit |
|---|---|---|
| Cash | 15,520 | |
| Accounts Receivable | 7,850 | |
| Prepaid Rent | 6,380 | |
| Equipment | 45,100 | |
| Accumulated Depreciation | | 7,600 |
| Accounts Payable | | 31,340 |
| Capital | | 44,200 |
| Drawing | 13,300 | |
| Sales | | 70,000 |
| Sales Discounts | 590 | |
| Sales Returns and Allowances | 1,100 | |
| Cost of Goods Sold | 42,000 | |
| Selling Expenses | 10,300 | |
| General and Administrative Expenses | 11,000 | |
| | 153,140 | 153,140 |

**Required**

Prepare the fourth closing entry to close the Drawing account to the Capital Stock account.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
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## Question 49 of 60

Journalize the following transactions for Bryant Company. Assume a perpetual inventory system. Also, assume a constant gross profit ratio for all items sold. Make sure to enter the day for each separate transaction.

March 4 Sold goods costing $6,600 to Clark Company for cash, $11,000.

March 10 Clark Company returned undamaged merchandise, purchased on March 4, for a cash refund, $1,070.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
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## Question 50 of 60

Journalize the following transactions for Roberts Company using the gross method of accounting for sales discounts. Assume a perpetual inventory system. Also, assume a constant gross profit ratio for all items sold. Make sure to enter the day for each separate transaction.

May 4 Sold goods costing $6,000 to Gonzales Company on account, $10,000, terms 4/10, n/30.

May 10 Gonzales Company was granted an allowance of $1,900 for returned merchandise that was previously purchased on account. The returned goods are in perfect condition.

May 14 Received the amount due from Gonzales Company.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
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## Question 51 of 60

Washington Company uses the gross method and a perpetual inventory system. Assuming the following entries, compute the amount that Washington Company received on November 19.

| | |
|---|---|
| November 9 | Sold goods costing $6,600 to Walker Company on account, $11,000, terms 4/10, n/30. The goods are shipped FOB Shipping Point, Freight Prepaid by Seller, $100. |
| November 15 | Walker Company returned undamaged merchandise previously purchased on account, $700. |
| November 19 | Received the amount due from Walker Company. |

## Question 52 of 60

Journalize the following transactions for the seller, Henderson Company, using the gross method to account for sales discounts. Assume a perpetual inventory system. Make sure to enter the day for each separate transaction.

| | |
|---|---|
| June 8 | Sold goods costing $6,600 to Harris Company on account, $11,000, terms 1/10, n/30. The goods are sold FOB shipping point, freight prepaid by seller, $360. |
| June 14 | Harris Company returned damaged merchandise previously purchased on account, $2,700. |
| June 18 | Received the amount due from Harris Company. |

Note: The entry to record the shipping payment to the delivery company is not required in this problem.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
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## Question 53 of 60

Journalize the following transactions for Hughes Company using the gross method of accounting for purchase discounts. Assume a perpetual inventory system.

| | | |
|---|---|---|
| November | 1 | Purchased goods from Scott Company on account, $14,400, terms 3/10, n/30. |
| November | 7 | Returned merchandise to Scott Company that was previously purchased on account, $3,600. |
| November | 11 | Paid the amount due to Scott Company. |

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
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## Question 54 of 60

Journalize the following transactions for the buyer, Torres Company, using the net method to account for purchase discounts. Assume a perpetual inventory system.

April 5 Purchased goods from Grieg Company on account, $15,000, terms 4/10, n/30.

April 11 Returned defective merchandise to Grieg Company that was previously purchased on account, $3,600.

April 16 Paid the amount due to Grieg Company.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
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## Question 55 of 60

Journalize the following transactions for the buyer, Brooks Company, using the gross method to account for purchase discounts. Assume a perpetual inventory system.

May 1 Purchased merchandise from Parker Company on account, $8,000, terms 4/10, n/30. The goods are shipped FOB shipping point, freight prepaid by seller, $490.

May 7 Returned to Parker Company merchandise previously purchased on account, $1,200.

May 11 Paid the amount due to Parker Company.

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
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## Question 56 of 60

Roberts Company had the following account balances for the current year. Prepare a multiple-step income statement.

| | |
|---|---|
| Cash | $ 32,300 |
| Cost of Goods Sold | 57,800 |
| Drawings | 15,000 |
| General and Administrative Expenses | 10,900 |
| Prepaid Insurance | 52,700 |
| Sales | 93,000 |
| Sales Discounts | 3,400 |
| Sales Returns and Allowances | 4,800 |
| Selling Expenses | 9,700 |


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## Question 57 of 60

The following items may or may not be classified as cash, or cash equivalents.

**Required:**

For each of the following items, determine whether each would be classified as cash, a cash equivalent, or neither.

| | Cash | Cash Equivalent | Neither |
|---|---|---|---|
| 1. Customer's NSF Check | | | |
| 2. Cash in a money market account | | | |
| 3. A three-month T-Bill coming due in 30 days | | | |

## Question 58 of 60

As the accounting consultant for Peterson Company, a merchandising company, you have been asked to assist management in determining the proper accounting for items related to merchandise inventory.

**Required:**

For each of the following four items, determine whether or not each would be included in the cost of ending merchandise inventory.

| | Included | Not Included |
|---|---|---|
| Insurance during shipment of purchased inventory | | |
| Sales Discounts | | |
| Cost of goods in transit, purchased, terms: FOB Destination | | |
| Cost of inventory on hand | | |


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## Question 59 of 60

Adams Company has the following account balances for the current year.

**Required:**

Compute the missing amounts.

| | |
|---|---|
| Beginning Merchandise Inventory | $ 40,000 |
| Purchases | 267,000 |
| Purchases Returns and Allowances | |
| Purchase Discounts | 560 |
| Freight-In | 2,200 |
| Cost of Goods Purchased | 266,750 |
| Cost of Goods Available for Sale | |
| Ending Merchandise Inventory | 49,000 |
| Cost of Goods Sold | |


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## Question 60 of 60

Baker Company had the following account balances at the end of the year:

| | | | | | |
|---|---|---|---|---|---|
| ☐ | Beginning Inventory | $ 38,900 | ☐ | Purchases Returns and Allowances | $ 4500 |
| ☐ | Ending Inventory | 41,300 | ☐ | Purchases | 78300 |
| ☐ | Freight-In | 3,700 | ☐ | Sales Discounts | 6400 |
| ☐ | General and Administrative Expenses | 23,000 | ☐ | Sales Returns and Allowances | 5500 |
| ☐ | Interest Revenue | 1,790 | ☐ | Sales | 185500 |
| ☐ | Interest Expense | 1,060 | ☐ | Selling Expenses | 16400 |
| ☐ | Purchase Discounts | 4,100 | | | |

**Required:**

Compute the following:

1. Cost of goods purchased
2. Net income, given that income from operations is $63,200.


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Class Name: **Fundamentals of Accounting (Sole Proprietorship)** Number of Questions: **60**

## Question 1 of 60

1. Revenue account
2. Liability account
3. Asset account
4. Owner's Equity account

## Question 2 of 60

| | Asset | Liability | Change to Owner's Equity |
|---|---|---|---|
| Accounts Payable | ○ | ● | ○ |
| Investment of Cash by Owner | ○ | ○ | ● |
| Supplies | ● | ○ | ○ |
| Notes Payable | ○ | ● | ○ |

## Question 3 of 60

| | Revenue | Expense | Other Changes to Owner's Equity | None of These |
|---|---|---|---|---|
| Salary Expense | ○ | ● | ○ | ○ |
| Prepaid Insurance | ○ | ○ | ○ | ● |
| Investment by Owner | ○ | ○ | ● | ○ |


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## Question 4 of 60

| | Balance Sheet | Income Statement | Equity Statement |
|---|---|---|---|
| Investment by owner | ☐ | ☐ | ☑ |
| Revenues | ☐ | ☑ | ☐ |
| After Considering What a Business Owns and Owes, What is Left Over | ☑ | ☐ | ☑ |

## Question 5 of 60

| | Balance Sheet | Income Statement | Equity Statement |
|---|---|---|---|
| Drawing | ☐ | ☐ | ☑ |
| Deferred Rent Revenue | ☑ | ☐ | ☐ |
| Net Income | ☐ | ☑ | ☑ |

## Question 6 of 60

| | Financial statements | Management discussion and analysis | Auditor's report | Notes to the financial statements |
|---|---|---|---|---|
| Statement of Equity | ◉ | ○ | ○ | ○ |
| Summary of Significant Accounting Policies | ○ | ○ | ○ | ◉ |

## Question 7 of 60

Total amount of Owner's Equity: $ 60,000


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## Question 8 of 60

a. Assets = Liabilities + Capital
Statement: Balance Sheet

b. Revenues - Expenses = Net Income
Statement: Income Statement

c. Capital (beginning balance) + Investments by Owner + Net Income - Drawing = Capital (ending balance)
Statement: Equity Statement

## Question 9 of 60

| Account | Which account is affected? | Is the account increased or decreased? | Why has Equity changed? |
|---|---|---|---|
| Cash | ☑ | ○ Increased<br>◉ Decreased | |
| Accounts Receivable | ☐ | ○ Increased<br>○ Decreased | |
| Supplies | ☐ | ○ Increased<br>○ Decreased | |
| Prepaid Insurance | ☐ | ○ Increased<br>○ Decreased | |
| Equipment | ☐ | ○ Increased<br>○ Decreased | |
| Accounts Payable | ☐ | ○ Increased<br>○ Decreased | |
| Equity | ☑ | ○ Increased<br>◉ Decreased | Expense |

## Question 10 of 60

| | | | |
|---|---|---|---|
| An asset account increases. | ☐ | An asset account decreases. | ☑ |
| A liability account increases. | ☐ | A liability account decreases. | ☑ |
| Owner's Equity increases. | ☐ | Owner's Equity decreases. | ☐ |


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## Question 11 of 60

| | | | |
|---|---|---|---|
| An asset account increases. | ☑ | An asset account decreases. | ☑ |
| A liability account increases. | ☐ | A liability account decreases. | ☐ |
| Owner's Equity increases. | ☐ | Owner's Equity decreases. | ☐ |

## Question 12 of 60

| | |
|---|---|
| Beginning capital | $ 13,800 |
| Ending capital | 24,900 |
| Additional investments by owner | 5,000 |
| Net income | 8,200 |
| Drawing | 2,100 |

## Question 13 of 60

| | |
|---|---|
| Assets, January 1 | $ 50,000 |
| Liabilities, January 1 | 33,000 |
| Assets, December 31 | 76,000 |
| Liabilities, December 31 | 41,000 |
| Additional investments by owner | 14,300 |
| Revenues | 25,000 |
| Expenses | 13,500 |
| Drawing | 7,800 |


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## Question 14 of 60

| Young Company<br>Balance Sheet<br>Dec 31 | | |
|---|---|---|
| Assets | | |
| Cash | $ 20,900 | |
| Accounts Receivable | 12,400 | |
| Prepaid Rent | 36,600 | |
| Supplies | 16,200 | |
| Total Assets | | $ 86,100 |
| Liabilities | | |
| Accounts Payable | $ 17,800 | |
| Deferred Revenue | 33,300 | |
| Total Liabilities | | 51,100 |
| Equity | | |
| Capital | | 35,000 |
| Total Liabilities and Equity | | $ 86,100 |


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## Question 15 of 60

| Susan Jackson, MD<br>Income Statement<br>For Year Ended Dec 31 | | |
|---|---|---|
| Revenues: | | |
| Examination fees | $ 172,200 | |
| Laboratory fees | 83,400 | |
| Total revenues | | $ 255,600 |
| Expenses: | | |
| Insurance expense | $ 69,900 | |
| Salary expense | 61,100 | |
| Rent expense | 59,900 | |
| Janitorial expense | 51,100 | |
| Miscellaneous expense | 8,900 | |
| Total expenses | | 250,900 |
| Net income | | $ 4,700 |

## Question 16 of 60

| Jackson Co.<br>Owner's Equity Statement<br>For Year Ended Dec 31 | | |
|---|---|---|
| Beginning capital, Jan 1 | | $ 63,100 |
| Additional investments | $ 25,000 | |
| Net income | 32,400 | |
| Less drawing | 16,700 | |
| Increase in equity | | 40,700 |
| Ending capital, Dec 31 | | $ 103,800 |


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## Question 17 of 60

| **Coleman Company**<br>Income Statement<br>For Year Ended December 31 | | |
|---|---|---|
| Revenues: | | |
| Consulting Revenue | 61,100 | |
| Total Revenues | | $ 61,100 |
| Expenses: | | |
| Supplies Expense | 8,700 | |
| Rent Expense | 9,200 | |
| Entertainment Expense | 5,500 | |
| Utilities Expense | 8,100 | |
| Total Expenses | | 31,500 |
| Net Income | | $ 29,600 |

## Question 18 of 60

| **Long Company**<br>Statement of Owner's Equity<br>For Year Ended December 31 | | |
|---|---|---|
| Beginning Capital | | $ 86,400 |
| Net Income | 16,700 | |
| Drawing | 23,600 | |
| Change in Equity | | (6,900) |
| Ending Capital | | $ 79,500 |


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## Question 19 of 60

**Taylor Company**
Balance Sheet
December 31

| | | |
|---|---|---|
| Assets | | |
| Cash | 39,600 | |
| Accounts Receivable | 67,500 | |
| Supplies | 10,000 | |
| Prepaid Rent | 15,900 | |
| Total Assets | | $ 133,000 |
| Liabilities | | |
| Accounts Payable | 50,700 | |
| Deferred Revenue | 5,500 | |
| Total Liabilities | | 56,200 |
| Owner's Equity | | |
| Capital | 76,800 | |
| Total Owner's Equity | | 76,800 |
| Total Liabilities and Owner's Equity | | $ 133,000 |


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## Question 20 of 60

| Account | Which accounts are affected? | Is the account increased or decreased? | What is the amount of transaction? | Why has Equity changed? |
|---|---|---|---|---|
| Cash | ☑ | ○ Increase<br>◉ Decrease | $ 1,600 | |
| Accounts Receivable | ☐ | ○ Increase<br>○ Decrease | $ | |
| Supplies | ☐ | ○ Increase<br>○ Decrease | $ | |
| Tools | ☐ | ○ Increase<br>○ Decrease | $ | |
| Accounts Payable | ☐ | ○ Increase<br>○ Decrease | $ | |
| Equity | ☑ | ○ Increase<br>◉ Decrease | $ 1,600 | Expense |

## Question 21 of 60

| | Debit | Credit |
|---|---|---|
| Drawing | ◉ | ○ |
| Service Revenue | ○ | ◉ |
| Capital | ○ | ◉ |
| Notes Payable | ○ | ◉ |


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## Question 22 of 60

| Statement of Problem | Will the trial balance still balance? | What is the amount of the difference? | Which trial balance column will become incrementally larger? |
|---|---|---|---|
| The $505 balance in Service Revenue was listed as a debit. | ○ Yes ◉ No | $ 1,010 | ◉ Debit ○ Credit |
| A receipt of $700 on account for services already performed was recorded as a debit to Cash for $700 and a credit to Service Revenue for $70. | ○ Yes ◉ No | $ 630 | ◉ Debit ○ Credit |
| A credit entry to Accounts Payable for $830 was posted twice. | ○ Yes ◉ No | $ 830 | ○ Debit ◉ Credit |

## Question 23 of 60

| | | |
|---|---|---|
| Which two accounts are affected? | Advertising Expense | Cash |
| What kind of accounts are they? | Owner's Equity (Expense) | Asset |
| Do the account balances increase or decrease? | ◉ Increase ○ Decrease | ○ Increase ◉ Decrease |
| Do we debit or credit the accounts? | ◉ Debit ○ Credit | ○ Debit ◉ Credit |


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## Question 24 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Apr. | 22 | Cash | 2,600 | | |
| | | Accounts Receivable | | 2,600 | |
| Sept. | 28 | Cash | 30,000 | | |
| | | Capital | | 30,000 | |
| | | | | | |
| | | | | | |
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## Question 25 of 60

| | |
|---|---|
| Cash | $ 27,155 |
| Utilities Expense | 485 |
| Accounts Payable | 240 |
| Accounts Receivable | 300 |
| Service Revenue | 1,700 |

## Question 26 of 60

| | |
|---|---|
| 1. Amount expensed : | $ 700 |
| 2. Amount in the Prepaid Advertising account : | $ 500 |

## Question 27 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | Interest Receivable | 1,200 | | |
| | | Interest Revenue | | 1,200 | |
| | | | | | |
| | | | | | |


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## Question 28 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | Insurance Expense | 6,000 | | |
| | | Prepaid Insurance | | 6,000 | |
| | | | | | |
| | | | | | |

## Question 29 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | Prepaid Advertising | 3,600 | | |
| | | Advertising Expense | | 3,600 | |
| | | | | | |
| | | | | | |

## Question 30 of 60

Taylor Company
Balance Sheet (partial)
December 31

| | | | |
|---|---|---|---|
| Property, Plant, and Equipment | | | |
| Land | | 630,000 | |
| Buildings | 1,470,000 | | |
| Accumulated Depreciation, Buildings | 70,000 | 1,400,000 | |
| Equipment | 72,000 | | |
| Accumulated Depreciation, Equipment | 8,000 | 64,000 | |
| Total Property, Plant, and Equipment | | | $ 2,094,000 |


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## Question 31 of 60

| Income Statement Accounts | |
|---|---|
| Revenue: | No Effect |
| Expense: | Understated |
| Net Income: | Overstated |
| **Balance Sheet Accounts** | |
| Assets: | Overstated |
| Liabilities: | No Effect |
| Owner's Equity: | Overstated |

## Question 32 of 60

| Income Statement Accounts | |
|---|---|
| Revenue: | No Effect |
| Expense: | Overstated |
| Net Income: | Understated |
| **Balance Sheet Accounts** | |
| Assets: | Understated |
| Liabilities: | No Effect |
| Owner's Equity: | Understated |

## Question 33 of 60

| | Permanent Account | Temporary Account |
|---|---|---|
| Prepaid Advertising | ◉ | ○ |
| Advertising Expense | ○ | ◉ |
| Accumulated Depreciation, Buildings | ◉ | ○ |


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## Question 34 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | Income Summary | 35,480 | | |
| | | Capital | | 35,480 | |
| | | | | | |
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## Question 35 of 60

| | |
|---|---|
| What is the balance in the supplies expense account? | $ 0 |
| What is the balance in the Capital account? | $ 68,050 |
| During the closing process, what amount was transferred from the income summary account to the Capital account in the third closing entry (i.e., after revenue and expense accounts have been closed to Income Summary)? | $ 32,200 |

## Question 36 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 27 | Service Revenue | 380 | | |
| | | Cash | | 380 | |
| | 27 | Cash | 830 | | |
| | | Deferred Revenue | | 830 | |
| | | | | | |


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## Question 37 of 60

| Date | | Description | Debit | Credit | Reversing entry necessary | Reversing entry not necessary |
|---|---|---|---|---|---|---|
| Dec. | 31 | Rent Expense | 1,000 | | ○ | ◉ |
| | | Prepaid Rent | | 1,000 | | |
| | 31 | Deferred Rent Revenue | 1,550 | | ○ | ◉ |
| | | Rent Revenue | | 1,550 | | |
| | 31 | Interest Expense | 800 | | ◉ | ○ |
| | | Interest Payable | | 800 | | |
| | 31 | Insurance Expense | 890 | | ○ | ◉ |
| | | Prepaid Insurance | | 890 | | |

## Question 38 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Jan. | 01 | Interest Payable | 800 | | |
| | | Interest Expense | | 800 | |
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## Question 39 of 60

Gray Company
Balance Sheet
December 31

| | | | |
|---|---|---|---|
| **Assets** | | | |
| Current Assets: | | | |
| Cash | | 30,400 | |
| Accounts Receivable | | 45,500 | |
| Supplies | | 13,500 | |
| Prepaid Rent | | 14,000 | |
| Total Current Assets | | | $ 103,400 |
| Property, Plant, and Equipment: | | | |
| Buildings | 100,000 | | |
| Accumulated Depreciation, Buildings | 56,100 | 43,900 | |
| Equipment | 58,100 | | |
| Accumulated Depreciation, Equipment | 18,400 | 39,700 | |
| Total Property, Plant, and Equipment | | | 83,600 |
| Total Assets | | | $ 187,000 |
| **Liabilities** | | | |
| Current Liabilities: | | | |
| Accounts Payable | | 58,900 | |
| Salaries Payable | | 9,200 | |
| Total Liabilities | | | 68,100 |
| **Owner's Equity** | | | |
| Capital | | | 118,900 |
| Total Liabilities and Owner's Equity | | | $ 187,000 |

## Question 40 of 60

| | |
|---|---|
| Dollar amount of Total Equity: | $ 100,800 |


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## Question 41 of 60

| | |
|---|---|
| Notes Payable, due in 2 years | Long Term Liability |
| Capital | Owner's Equity |
| Service Revenue | Not Found on the Balance Sheet |

## Question 42 of 60

| | Debit | Credit |
|---|---|---|
| Sales | ○ | ● |
| Sales Returns and Allowances | ● | ○ |
| Freight-out | ● | ○ |
| Cost of Goods Sold (COGS) | ● | ○ |

## Question 43 of 60

| | Asset | Contra-Asset | Liability | Revenue | Contra-Revenue | Expense |
|---|---|---|---|---|---|---|
| Deferred Sales Revenue | ○ | ○ | ● | ○ | ○ | ○ |
| Sales Returns and Allowances | ○ | ○ | ○ | ○ | ● | ○ |
| Cost of Goods Sold (COGS) | ○ | ○ | ○ | ○ | ○ | ● |


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## Question 44 of 60

| | |
|---|---|
| Sales | $ 123,800 |
| Sales Returns and Allowances | 4,200 |
| Sales Discounts | 4,500 |
| Net Sales | 115,100 |
| Cost of Goods Sold | 62,000 |
| Gross Profit | 53,100 |
| Selling Expenses | 10,400 |
| General and Administrative Expenses | 8,800 |
| Total Operating Expenses | 19,200 |
| Net Income | 33,900 |

## Question 45 of 60

Does the buyer, James, qualify for the discount?

- (●) Yes
- ( ) No

Who pays for shipping?

- (●) James, the buyer
- ( ) Brown, the seller

## Question 46 of 60

Amount that is paid to the seller: $ 4,400


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## Question 47 of 60

| | |
|---|---|
| Sales | $ 122,200 |
| Sales Returns and Allowances | 4,200 |
| Sales Discounts | 3,400 |
| Net Sales | 114,600 |
| Cost of Goods Sold | 54,500 |
| Gross Profit | 60,100 |
| Selling Expenses | 10,600 |
| General and Administrative Expenses | 8,100 |
| Net Income | 41,400 |

## Question 48 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Dec. | 31 | Capital | 13,300 | | |
| | | Drawing | | 13,300 | |
| | | | | | |
| | | | | | |
| | | | | | |


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## Question 49 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Mar. | 4 | Cash | 11,000 | | |
| | | Sales | | 11,000 | |
| | 4 | Cost of Goods Sold | 6,600 | | |
| | | Merchandise Inventory | | 6,600 | |
| | 10 | Sales Returns and Allowances | 1,070 | | |
| | | Cash | | 1,070 | |
| | 10 | Merchandise Inventory | 642 | | |
| | | Cost of Goods Sold | | 642 | |
| | | | | | |


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## Question 50 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| May | 4 | Accounts Receivable | 10,000 | | |
| | | Sales | | 10,000 | |
| | 4 | Cost of Goods Sold | 6,000 | | |
| | | Merchandise Inventory | | 6,000 | |
| | 10 | Sales Returns and Allowances | 1,900 | | |
| | | Accounts Receivable | | 1,900 | |
| | 10 | Merchandise Inventory | 1,140 | | |
| | | Cost of Goods Sold | | 1,140 | |
| | 14 | Cash | 7,776 | | |
| | | Sales Discounts | 324 | | |
| | | Accounts Receivable | | 8,100 | |
| | | | | | |

## Question 51 of 60

| | |
|---|---|
| Amount due from Walker Company on November 19: | $ 9,988 |


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## Question 52 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| June | 8 | Accounts Receivable | 11,360 | | |
| | | Sales | | 11,000 | |
| | | Freight Out | | 360 | |
| | 8 | Cost of Goods Sold | 6,600 | | |
| | | Merchandise Inventory | | 6,600 | |
| | 14 | Sales Returns and Allowances | 2,700 | | |
| | | Accounts Receivable | | 2,700 | |
| | 18 | Cash | 8,577 | | |
| | | Sales Discounts | 83 | | |
| | | Accounts Receivable | | 8,660 | |
| | | | | | |

## Question 53 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Nov. | 1 | Merchandise Inventory | 14,400 | | |
| | | Accounts Payable | | 14,400 | |
| | 7 | Accounts Payable | 3,600 | | |
| | | Merchandise Inventory | | 3,600 | |
| | 11 | Accounts Payable | 10,800 | | |
| | | Merchandise Inventory | | 324 | |
| | | Cash | | 10,476 | |
| | | | | | |
| | | | | | |


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## Question 54 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| Apr. | 5 | Merchandise Inventory | 14,400 | | |
| | | Accounts Payable | | 14,400 | |
| | 11 | Accounts Payable | 3,456 | | |
| | | Merchandise Inventory | | 3,456 | |
| | 16 | Accounts Payable | 10,944 | | |
| | | Purchase Discounts Lost | 456 | | |
| | | Cash | | 11,400 | |
| | | | | | |
| | | | | | |

## Question 55 of 60

| Date | | Account Title | Debit | Credit | |
|---|---|---|---|---|---|
| May | 1 | Merchandise Inventory | 8,490 | | |
| | | Accounts Payable | | 8,490 | |
| | 7 | Accounts Payable | 1,200 | | |
| | | Merchandise Inventory | | 1,200 | |
| | 11 | Accounts Payable | 7,290 | | |
| | | Cash | | 7,018 | |
| | | Merchandise Inventory | | 272 | |
| | | | | | |


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## Question 56 of 60

| Roberts Company<br>Income Statement<br>For Year Ended, December 31 | | | |
|---|---|---|---|
| Revenues: | | | |
| Sales | | 93,000 | |
| Sales Discounts | 3,400 | | |
| Sales Returns and Allowances | 4,800 | | |
| Net Sales | | | $ 84,800 |
| Cost of Goods Sold | | | 57,800 |
| Gross Profit | | | 27,000 |
| Operating Expenses: | | | |
| General and Administrative Expenses | | 10,900 | |
| Selling Expenses | | 9,700 | |
| Total Operating Expenses | | | 20,600 |
| Net Income | | | $ 6,400 |

## Question 57 of 60

| | Cash | Cash Equivalent | Neither |
|---|---|---|---|
| 1. Customer's NSF Check | ○ | ○ | ◉ |
| 2. Cash in a money market account | ○ | ◉ | ○ |
| 3. A three-month T-Bill coming due in 30 days | ○ | ◉ | ○ |


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## Question 58 of 60

| | Included | Not Included |
|---|---|---|
| Insurance during shipment of purchased inventory | ◉ | ○ |
| Sales Discounts | ○ | ◉ |
| Cost of goods in transit, purchased, terms: FOB Destination | ○ | ◉ |
| Cost of inventory on hand | ◉ | ○ |

## Question 59 of 60

| | |
|---|---|
| Beginning Merchandise Inventory | $ 40,000 |
| Purchases | 267,000 |
| Purchases Returns and Allowances | 1,890 |
| Purchase Discounts | 560 |
| Freight-In | 2,200 |
| Cost of Goods Purchased | 266,750 |
| Cost of Goods Available for Sale | 306,750 |
| Ending Merchandise Inventory | 49,000 |
| Cost of Goods Sold | 257,750 |

## Question 60 of 60

| | |
|---|---|
| Cost of Goods Purchased: | $ 73,400 |
| Net Income: | $ 63,930 |


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